

Pre-Seed Fundraising Blueprint: Zero Sales & Zero Stock Stage

Executive guide on target institutional investors, deal mechanics (paisa aane ke baad kya hota hai), investor taxonomy, and team alignment for Sandline Studio.

Executive Summary for the Team: Sandline Studio is currently in the **Pre-Revenue / Discovery Stage** (zero commercial sales recorded, zero idle warehouse stock, lean dropship/made-to-order manufacturing model, live e-commerce platform). Traditional Series A/B VCs will not invest at this stage without **₹25L–₹50L** monthly recurring GMV. However, specialized **Pre-Seed Micro-VCs and Angel Networks** explicitly fund companies at Day-0 based on founder insight, unit economics (60–75% gross margins), brand positioning, and functional infrastructure. This memo details who these investors are, how the investment transaction functions, and what governance changes occur post-funding.

1. Two Target Investors for Zero Sales & Zero Stock Stage

At the pre-revenue stage, institutional investors do not evaluate historical P&L sheets. Instead, they underwrite **Founder Grit, Category Market Size (D2C Resortwear & Destination Apparel), Gross Unit Margins, and Speed of Execution**. Below are the two most prominent institutional investors in India who actively write checks at this exact stage:

TARGET 1: 100X.VC • India's Pre-Seed Discovery Venture Capital Fund

Key People: Sanjay Mehta (Founding Partner), Ninad Karpe, Shashank Randev.

Why Suitable for Sandline: 100X.VC was launched with the exact mandate to become the 'First Institutional Cheque' in Indian startups. They explicitly evaluate companies with **zero revenue and zero stock**. Over 150+ startups funded across India.

Investment Size: **₹1.25 Crore (~\$150,000)** per startup.

Investment Instrument: iSAFE (India Simple Agreement for Future Equity) notes. This is extremely founder-friendly because it eliminates contentious valuation negotiations at Day-0. The investment converts into equity during the subsequent priced round.

Typical Equity Dilution: ~15% equity at conversion.

What They Provide: Masterclasses on D2C scaling, founder network, and access to 500+ angels and Series A VCs during their VC Pitch Day.

Application Route: Open batch applications via 100x.vc/apply. Requires pitch deck, 2-minute video pitch, and website demo.

TARGET 2: TITAN CAPITAL • Founded by Kunal Bahl & Rohit Bansal (Snapdeal)

Key People: Kunal Bahl & Rohit Bansal (E-commerce pioneers in India) & Bipin Shah (Partner).

Why Suitable for Sandline: Titan Capital is one of India's most celebrated pre-seed & seed offices. Because the founders built Snapdeal, they have an intimate understanding of **apparel, e-commerce supply chains, logistics, and consumer brands**. They have backed breakout consumer/D2C companies from day one (including Mamaearth, Snitch, Urban Company, BluSmart, Bira 91).

Investment Size: **₹25 Lakhs to ₹1.5 Crore (\$30k – \$180k)**.

Investment Stage: Day 0, Pre-revenue, working prototype stage.

What They Look For in Sandline: Clean unit economics (e.g. **₹4,500** selling price with **₹1,000** COGS and **₹1,000** fulfillment, yielding ~55-65% gross margin), a distinctive brand aesthetic, and rapid execution.

Application Route: Direct founder submission via titancapital.vc/pitch or warm introduction via portfolio founders.

Additional High-Probability Pre-Seed Investors:

- **Inflection Point Ventures (IPV):** 14,000+ angel network investing **₹50L–₹2Cr** in early D2C concepts; brings deep retail distribution

mentors.

- **First Cheque:** Micro-seed syndicate backing founders right when the product is built, before commercial traction.
- **Better Capital:** Pre-seed fund specializing in sole-founder and Day-0 venture builds.

2. Investor Landscape: Types of Capital Available

Different types of capital come with distinct expectations, dilution levels, and governance requirements. The team must understand the trade-offs before accepting checks:

Investor Category	Typical Ticket	Stage & Focus	Dilution / Cost	Key Pros & Cons
Angel Investors / HNIs (D2C Founders, Retail Execs)	■5L – ■25L per angel	Pre-revenue / Idea. Back the founder's passion.	5% – 10% equity (via CCPS or Equity)	Pros: Fast decisions, zero bureaucracy. Cons: Can be demanding if inexperienced.
Pre-Seed Micro VCs (100X.VC, Titan Capital)	■50L – ■1.5 Cr	Day-0 / Prototype ready. Look for massive market size.	10% – 15% equity (via iSAFE or CCPS)	Pros: High prestige, institutional validation. Cons: Formal reporting & governance.
Angel Syndicates (IPV, LetsVenture, IAN)	■25L – ■1 Cr	Concept to Early Pilot. Lead angel conducts DD.	8% – 15% equity	Pros: Collective network of 30+ HNIs. Cons: 4–8 weeks process duration.
Government Grants (Startup India SISFS, NIDHI)	■10L – ■20L grant ■50L low-int. loan	DPIIT recognized startups enrolled in incubators.	0% Equity Dilution (Non-dilutive grant)	Pros: Completely free non-dilutive capital. Cons: Bureaucratic application through incubators.
Revenue-Based Finance (RBF) (Klub, Velocity, GetVantage)	■10L – ■1 Cr (Working Capital)	*NOT for Pre-revenue. Requires min ■5L/month sales.	0% Equity (Flat 1.2x–1.3x repayment from sales)	Pros: No equity dilution for inventory. Cons: Must achieve sustained revenue first.

3. The Investment Procedure: What Happens When Capital is Invested?

Many first-time founders ask: '*Paisa dega toh kya hoga? Hamari ownership ka kya hoga? Bank account kiske pass rahega?*' Here is the exact step-by-step corporate, financial, and legal mechanism:

Step 1: Term Sheet Signing

The investor issues a non-binding 2-page Term Sheet specifying: (a) Investment Amount (e.g. ■50 Lakhs), (b) Valuation Cap or Pre-Money Valuation (e.g. ■3.5 Crore), (c) Investment Instrument (iSAFE or CCPS), and (d) Exclusivity period (typically 30 days while legal agreements are drafted).

Step 2: Legal Entity Transformation (Private Limited Requirement)

Critical Rule: Investors cannot legally invest equity capital into an unregistered brand, Sole Proprietorship, or Partnership firm. The business must be incorporated as an **Indian Private Limited Company (Pvt Ltd)**. The brand assets (domain sandline.store, copyright, source code) are officially assigned to the Pvt Ltd company.

Step 3: Due Diligence (DD) & Conditions Precedent (CP)

At pre-seed, DD takes 7–14 days. The investor's legal team verifies: clean founder identity (KYC/PAN), company bank account, GST registration, absence of legal liabilities, and trademark filing status.

Step 4: Definitive Agreements (SHA / SSA / iSAFE)

Both parties sign binding contracts:

- **SSA (Share Subscription Agreement):** Specifies number of shares allotted in exchange for funds.
- **SHA (Shareholders' Agreement):** Defines governance rules, voting rights, and information rights.
- *Alternatively (100X.VC):* An **iSAFE agreement** is executed, which avoids issuing actual shares immediately and converts automatically in Round 1.

Step 5: Fund Remittance & ROC Allotment (PAS-3)

The investor wires the entire capital directly into the **Company's Current Bank Account** (never founder's personal account). The company's Company Secretary (CS) files **Form PAS-3** with the Registrar of Companies (ROC) within 30 days to officially issue shares/notes.

Step 6: Post-Funding Governance & Reality (Paisa Aane Ke Baad)

Once the money hits the company account, the following operational rules govern the business:

- **Founders retain daily control:** Pre-seed investors do NOT run your day-to-day operations or dictate marketing creatives.
- **Founder Salary:** Modest, sustainable founder salaries are budgeted and drawn monthly through payroll.
- **Reserved Matters:** Major structural decisions (e.g., selling the company, taking huge debt, shutting down) require investor consent.
- **Monthly MIS Updates:** Founders share a monthly 1-page report detailing: Cash Burn, Revenue, CAC, Ad Spend, and remaining Runway in months.

4. Dilution Mechanics & Pre-Seed Fund Deployment

Equity Dilution Rule of Thumb: In the first round, founders should NEVER dilute more than **10% to 15%**. Excessive early dilution (e.g. giving 30–40% to an angel) cripples the cap table and makes subsequent institutional funding impossible.

Scenario Metric	Conservative Round	Target Institutional Round (e.g. 100X.VC)
Investment Amount Raised	■35,00,000 (~\$42,000)	■1,25,00,000 (~\$150,000)
Post-Money Valuation	■3,50,00,000 (~\$420,000)	■8,33,00,000 (~\$1,000,000)
Investor Equity Share	10.0%	15.0%
Founder Equity Retained	90.0%	85.0%
Expected Runway	10 – 12 Months	15 – 18 Months

Budget Category	% Share	Strategic Rationale for Sandline Studio
Meta & Google Ads (Performance CAC)	40%	High-converting creatives testing resortwear in Tier-1 metros & NRI overseas buyers.
Production & Buffer Inventory	25%	Stock 10–20 units of proven bestseller SKUs (e.g. crochet sets, halter sets) to cut shipping time to 48 hrs.
Influencer Seeding & Lookbook PR	15%	Gifting resort sets to luxury travel creators travelling to Maldives, Bali, Goa, and Dubai.
Packaging, Unboxing & Atelier Quality	10%	Custom rigid linen boxes, branded ribbon, luxury garment bags, thank-you cards.
Operations, Legal & Software Tech	10%	Pvt Ltd compliance, Shopify/Next.js hosting, Razorpay/Stripe, CS filings, trademark.

5. Pre-Fundraising Action Checklist for Sandline Team

Before sending pitch emails to 100X.VC or Titan Capital, the core team must ensure the following 5 assets are ready:

- **1. Entity Incorporation:** Incorporate *Sandline Studio Private Limited* (or convert existing firm) with 2 directors and clean equity split.
- **2. 10-Slide Investor Pitch Deck:** Problem (Lack of premium accessible resortwear in India), Solution (Sandline luxury atelier), Target Audience, Unit Economics (■4,500 ASP vs ■1,000 COGS), Market Size (\$3B+ vacation/destination wear), Live Storefront Showcase.
- **3. Live Proof of Tech & Infrastructure:** Active store at <https://sandline.store> with multi-currency (INR, USD, EUR, AED), integrated Razorpay/Stripe, and automated order fulfillment pipelines.
- **4. Clear Founder Narrative:** Why Puneet Singh and team? Why resortwear? What is the unshakeable edge in sourcing, quality, and design curation?
- **5. Clean Cap Table Agreement:** Pre-agreed founder vesting schedule (e.g. 4-year vesting with 1-year cliff) to demonstrate long-term commitment to institutional investors.

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Document designed for executive board and team evaluation prior to initial investor outreach.